

Pizza shop project

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1 Introduction

Our firm's client is an owner of a small pizza shop in a somewhat busy area. Due to recent mentions of tariffs on the news, they have decided to contract our consulting firm for a short presentation on the best business decision. Our small pizza shop owner is open to three options. The following are the business goals.

2 Goals

1. Maintain food quality by having the owner as the only employee.
2. Invest all profits in a balanced retirement investment account.
3. Future sale in 25 years of business.
4. Any loans for development be below 10% of profits to reduce risk.
5. Leaving the business in family as an inheritance.

3 Business options

1. Convert to a cinnamon roll shop
2. Convert to a doughnut shop
3. Keep the pizza shop as is

4 Method

Using our clients current sales and profits, our analysts developed sales and profits for all business options. The 2008 recession is used as a building block for losses in sales and rises in prices to create a conservative estimate as our client wishes to keep risk as low as possible and will use the business as a retirement tool. We have also incorporated a loan required for a transition of business model into our evaluation. Using an average return of 7% for the balanced retirement account, we have found the future value of each investment type. Our client has expressed a strong position on being open 22 days a month. Our analysts utilized AI to develop comparable quality recipes and food costs, along with expected rises in price based on the 2008 recession.

5 Loan

To calculate the monthly payment for our client we have used the formula

$$M = P * (r(1 + r)^n) / ((1 + r)^n - 1) \quad (1)$$

Because a loan to transition the business does not exceed 10% of profits the business owner is open to all three options.

6 Accumulating value

To calculate future value of index funds we used the formula

$$FV = C * ((1 + i)^n - 1) / i \quad (2)$$

The amount used for C is the post tariff projected profits accounting for higher operating costs and higher ingredients costs.

7 Present value

To find our present value, we use our equation

$$PV = AV * (1 / (1 + i))^n \quad (3)$$

Our present values of investment accounts based on the business model are as follows.

Pizza shop = 391693.61

Cinnamon roll shop = 591280.3

Doughnut shop = 802986.1

8 Conclusion

The most profitable business decision is clearly the doughnut shop. After subtracting the present value of the loan it is still significantly more profitable and does not expose our client to any substantial risk.

9 Appendix

For the loan calculations, we used our client's available 5% interest rate, a monthly payment term, a 5 year term, and principal amounts of 0, 6000, and 10000. Our client will have a monthly payment of 0, or 113.23, or 188.71 depending on their decision.

For the accumulated values we used a nominal rate of 7%, we use $.07/12 = .00583$ to find .00583 is the monthly interest rate. With a 3% yearly inflation as an average, we use $.03/12 = .0025$ to find the monthly inflation. With $.00583 - .0025 = .00333$ being our monthly real interest.

To find present values, we used our real monthly rate of .00333 and total months of 300.